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“We as stockbrokers, exchanges, or regulators are not supposed to be in the business of managing an individual’s greed and fear. All we can do is make aggressive awareness about the risk in the product”

vestors, are, in general making offsetting profits, where gains from some trades make up for losses in others.

Finally, some market experts say that the argument that the F&O segment is responsible for the decline in household savings and bank deposits doesn’t hold water. Manoranjan Sharma, Chief Economist at Infomerics Ratings, says perhaps a much more important factor is the influx of money in the stock markets via the SIP route (₹25,000 crore a month) by mutual funds. “There are also factors like higher returns in other asset classes, such as, gold and real estate and the high rate of inflation,” he says.

KEEPING F&Os IN CHECK

How does one keep F&O risks in check? “The volume of F&O trading in Indian markets has become practically unsustainable, unmanageable and unnecessary for the healthy functioning of the stock markets,” says Religare’s Sidana. Sebi is now working on several proposals to check speculation (see box ‘Reining in F&O’). Securities transaction tax (STT) is currently levied on the premi-

um in options contracts, while futures contracts are taxed on the entire notional value. Currently, options sellers aren’t subject to daily mark-to-market (MTM) adjustments until they unwind the position. This creates a disparity compared to futures contracts, where daily MTM applies, leading to lower volumes in the futures market. “If reducing retail participation is the goal, increasing the lot size could be effective. Higher margins would be required for selling options, raising the entry requirement,” says Bonanza’s Goel. Will increasing the lot size work? “Retail investors who deal in a lower number of lots, will have to compulsorily do one [proposed higher] lot, which eventually will lead to higher turnover,” says Sanghavi.

Experts suggest imposing certain fixed conditions on the net worth of the client. “We rely on self-declared income, which isn’t verified. Requiring documents like net worth certificates or ITR copies, needing CA certification, would increase costs and discomfort for clients,” says Bigul’s Parakh. Another issue is investor education. In Singapore, investors undergo a Customer Knowledge Assessment (CKA), while in the UK, regulators require customer-level certification through mandatory training and exams, especially for high-risk products. On its part, Sebi is also planning to ease regulations to encourage more registered investment advisors.

Similarly, any manipulation or unequal access to brokers at the exchange level should be looked into. Co-location has contributed to rising volumes as brokers house their servers on exchange premises.

THE WAY AHEAD

Experts say regulations related to F&O trades will have to tread a fine line to ensure investors don’t find them too restrictive. Sebi’s proposed measures, if implemented, will have an impact on liquidity. “Building liquidity in a contract is a gradual process. Once built, if liquidity is disrupted, it is very challenging to rebuild,” says Goel.

In 2014, South Korea raised minimum deposits for F&O trading to protect retail investors, leading to a significant drop in volumes. “By curbing trading, you will actually give rise to larger risks. The lack of liquidity causes systemic risk,” warns Modi. If there is a higher threshold, retail investors may be unable to enter the market for hedging. Kohli reasons that if that happens, then market makers also reduce their activity, which can unintentionally affect the cash equity market as well.

₹52,000

CRORE

AMOUNT LOST BY RETAIL INVESTORS TO F&O ACTIVITY IN 2023-24, ACCORDING TO MARKETS REGULATOR SEBI